Camtek

CAMT | NASDAQ | October 17, 2026

More inspection of increasingly expensive packages

Q4 2027 modeled ceiling: **USD 125**. Analytical Base: **70**. Protected Excel Base: **70**.

Camtek can capture more value as advanced packages gain layers, interconnects and demanding measurement steps. The investment depends on qualified tools becoming accepted customer revenue, while research and support costs remain fully expensed.

Method retained: 20x forward-four-quarter operating profit. Each valuation window takes the lower of a matched cash-redemption case and a matched fully converted note case. No analyst price target or new multiple is imported.

Coverage only; no holding established. Operating-money tables show USD millions unless labeled otherwise, rounded to whole figures. Share-price and ceiling tables show USD per share; share tables show whole shares. Rounding is for readers; the underlying model and Excel retain exact calculations.

Dated market snapshot: about USD 153 per share at the October 9, 2026 regular close. Common shares: 46,668,177 at June 30, 2026. The quote is not current; it is separate from forecast diluted shares.

Active horizon	Earnings window	F4Q OP	Multiple	Matched shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	295	20x	52,030,000	125

The dated quote exceeds the modeled ceiling, so there is no positive modeled upside to split between growth and re-rating. This is a valuation conclusion at that saved quote, not a prediction of the next share-price move.

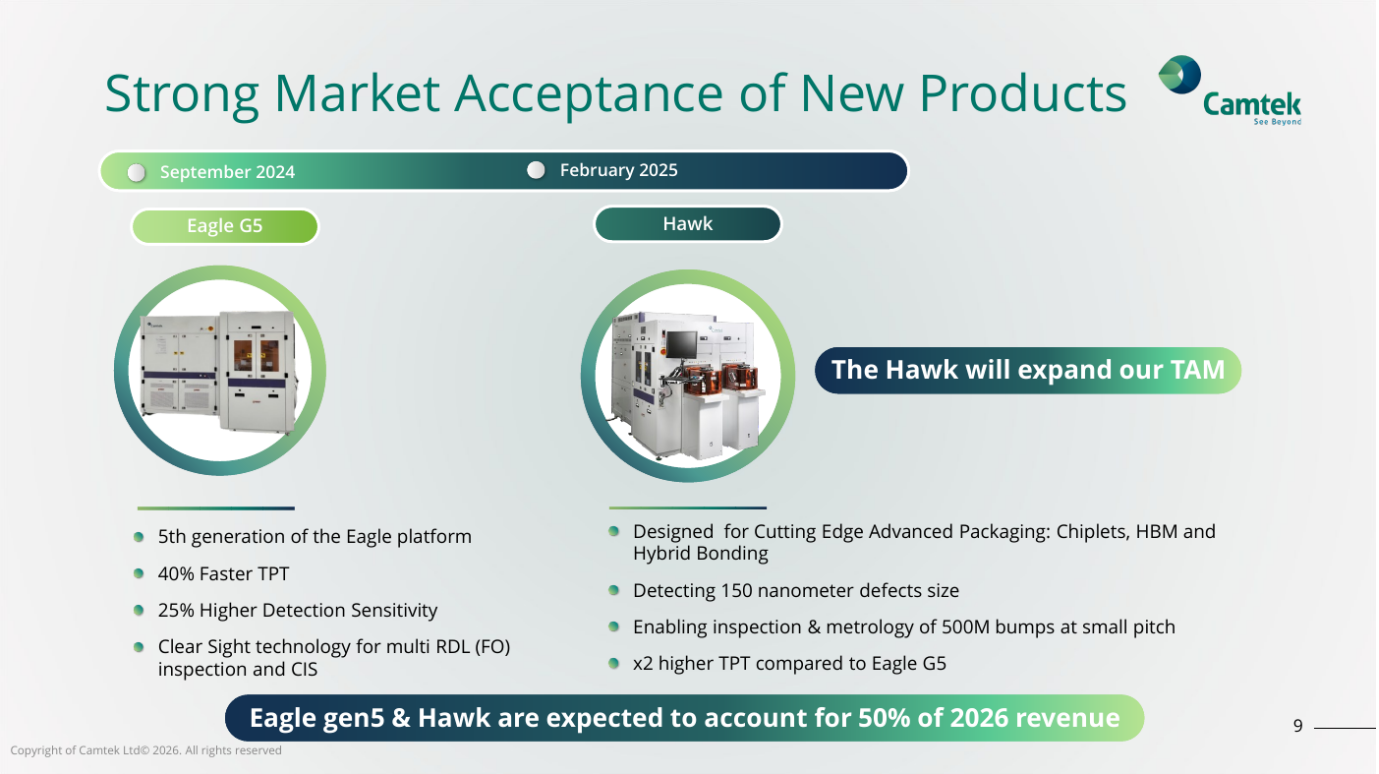
Thesis: a mistake becomes more costly as packages grow

Camtek inspects and measures semiconductor wafers and advanced packages. A defect found before another expensive processing or assembly step can save a customer much more than the cost of inspection. Denser bumps, extra redistribution layers, stacked memory and hybrid bonds create more places where a small defect can destroy a valuable package.

The company sells tools, qualified recipes, software, service and customer support. It does not receive a fixed share of AI data-center spending. The profit bridge runs from a process problem to a customer qualification, then a tool configuration or upgrade, delivery, acceptance and cash collection.

Installed recipes, measurement repeatability, false-alarm control and integration with production systems make replacement difficult. These are useful barriers, but not a monopoly. KLA, Onto Innovation and other qualified platforms remain alternatives in relevant applications.

Productivity is the important counterweight. A faster tool can process more wafers with fewer installed systems. Wafer growth, more inspection steps and higher throughput cannot all be counted as separate demand shocks. New applications, greater inspection intensity, mix and recurring service must outweigh the tools that productivity saves.



Original August issuer product exhibit. G5 and Hawk comparisons are company claims; customer recipe, coverage and sensitivity affect achieved throughput.

October preliminary results and outlook

On October 14, Camtek preannounced third-quarter revenue of USD 160-161 million, slightly above its earlier USD 158-160 million guidance. The active model uses the midpoint as a preliminary revenue anchor. Costs, profit, cash flow, receivables and the new diluted-share count remain forecasts until the full quarterly release.

Management guided fourth-quarter revenue to about USD 180 million and full-year revenue to about USD 595 million. It gave an initial 2027 revenue outlook above USD 800 million, describing growth above 35%. These are distinct from the longer-range financial target model.



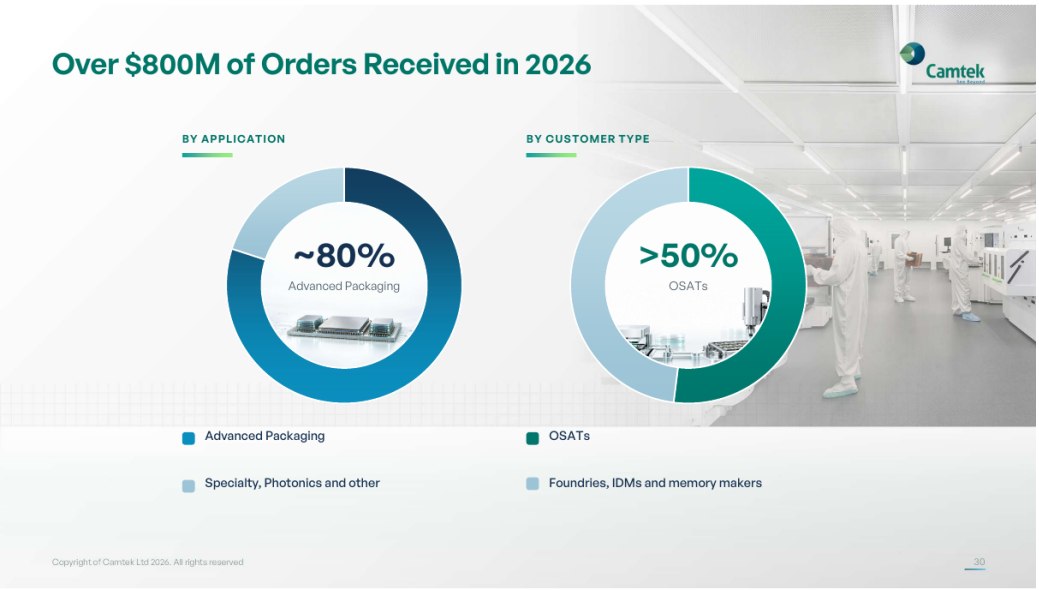
Original October 14 issuer slide 4: preliminary Q3 revenue, Q4 guidance and initial 2027 revenue outlook. Preliminary revenue is subject to the closing process.

No 2027 operating-profit or margin guidance appears in the new release or presentation. The full third-quarter financial report was expected in early November; the preliminary release did not provide an exact announcement date. Issuer release.

Orders require acceptance

By October 14, year-to-date orders exceeded USD 800 million, with deliveries scheduled throughout 2026 and into 2027. About 80% concerned advanced packaging, and more than half came from OSATs. Application mix and customer type overlap; they are not two separate revenue opportunities.

The order total is not remaining backlog, cash receipts or an additional USD 800 million of 2027 sales. Previously announced multi-system orders, including the USD 105 million OSAT and HBM headline, sit inside later cumulative order totals. They are counted once.



Original October issuer slide 30. The 80% application share and over-50% OSAT share classify the same orders in different ways.

The October 15 bank meeting note is an attributed account, not a second purchase-order register. Its large OSAT reference, photonics opportunity and capacity comments help assess timing and risk, but do not establish incremental invoices beyond the issuer order total. Customer budgets, acceptance schedules, equipment components and production organization can still delay conversion.

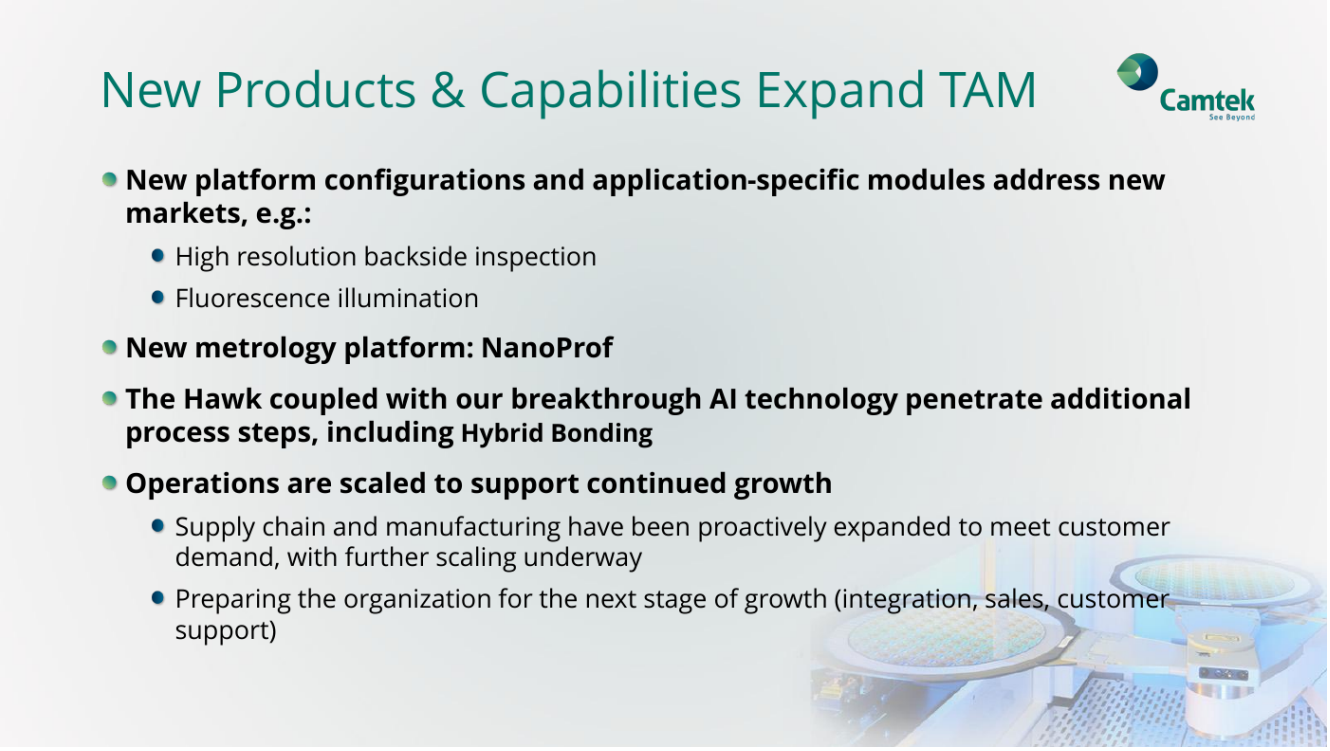
Q2 call slides identified HBM transitions, 2D/3D integration and emerging photonics as drivers. Existing software upgrades and installed-base service also offer a route to sales. Orders must still become accepted configurations before the model recognizes them.

Technology roadmap and customer economics

Eagle G5 adds sensitivity and throughput for advanced-packaging inspection. Hawk targets demanding chiplet, HBM and hybrid-bonding work. The earlier issuer material described G5 as about 40% faster and Hawk as roughly twice G5 throughput for selected applications, with bump inspection and sensitivity down to about 150 nanometers. These comparisons are issuer claims, not independent guarantees across every recipe.

The October roadmap retains micro-bump opportunities for HBM4 and HBM4e. A tenth-generation sensor is expected in 2027 for bumps below 5 micrometers. Hybrid bonding creates other requirements: surface roughness, copper dishing, warpage, fine-particle detection and post-bond void detection. A roadmap is not the same as a qualified production award.

NanoProf adds dedicated metrology. Backside and edge inspection, fluorescence illumination and additional handling configurations can open process steps. Visual Layer adds image analysis, engineering personnel and software capability. The company plans to start selling new software products in 2027. Qualification, integration and support are costs before they become profit.



Original issuer capability exhibit: NanoProf, new inspection configurations and capacity preparation. New capabilities require customer qualification.

Customers may pay more for fewer false alarms, better yield or faster diagnosis of an expensive defect. That supports a small price contribution on new or repriceable terms. Earlier call evidence of adequate Camtek capacity weakens a claim of company-wide shortage pricing; fixed-price backlog receives no automatic premium.

Three revenue pools, one invoice

The reference separates AI/HPC advanced packaging, other advanced packaging and other applications. Other applications include general 2D inspection, photonics, power devices, image sensors and front-end uses. Service and software captured in those invoices are not added a second time as an independent company-wide sales pool.



Original August mix exhibit: the 55% AI/HPC component and 20% other advanced packaging component together form 75% advanced packaging. These are overlapping market labels, not additive segments.

The reference uses USD 735 million of 2027 revenue before the five evidence branches: USD 450 million AI/HPC advanced packaging, USD 140 million other advanced packaging and USD 145 million other applications. Corresponding 2028 inputs are USD 600 million, USD 160 million and USD 160 million. Reference totals reach USD 1,095 million in 2029 and USD 1,275 million in 2030. These are analytical allocations, not reported product segments or management guidance.

For an auditable volume-times-value diagnostic, AI/AP revenue is expressed in USD 1,500,000 revenue-equivalent invoices. This is not a disclosed tool selling price, tool shipment count or required physical capacity. Actual tool configurations, acceptance dates and prices remain gaps. Stronger photonics activity is already inside the application pools; broad market-size charts do not become company revenue directly.

Latest completed quarter: profit is not an addback

The latest full financial quarter ended June 30 and was released August 10. Revenue rose about 10% from Q1, while GAAP operating profit was nearly flat. Research, integration and organizational expansion consume real resources.

USD million, rounded	Q1 2026	Q2 2026
Revenue	122	133
GAAP operating profit	27	27
Q2 gross profit	-	67
Q2 R&D	-	17
Q2 selling and administration	-	23
Q2 operating cash flow	-	12

Q2 GAAP gross margin was about 50%; non-GAAP gross margin about 51%. GAAP operating margin was about 20%; non-GAAP operating margin about 27%. The distinction is material when comparing today with the new target.

Q2 accounting bridge, USD thousands	Gross profit	Operating profit
GAAP	66,702	27,227
Acquisition-related adjustments	1,097	3,928
Stock compensation	687	4,873
Non-GAAP	68,486	36,028

The exact reconciliation retains USD 1,784,000 of gross-profit exclusions and USD 8,801,000 of operating-profit exclusions. The difference is operating expense. Compensation, ordinary depreciation and acquired-intangible amortization remain economic costs in the valuation model. The unusual USD 2,600,000 transaction cost is not assumed to recur every quarter.

Q2 also included a USD 8 million one-time tax expense, rounded, below operating profit. Financial income and the prior note-extinguishment loss also sit below operating profit. None is deducted or added back a second time in the operating-profit valuation. Source-table totals control over inconsistent release footnote subtotals and headline percentages.

Non-GAAP goals and fully expensed costs

The October target replaces the earlier USD 750 million illustration with about USD 1,200 million of annual organic revenue in approximately three years. Around 2029 is the model interpretation of that timing; a binding calendar-year or quarter deadline was not printed. The target is not guidance, a guaranteed outcome or a new confirmed backlog.

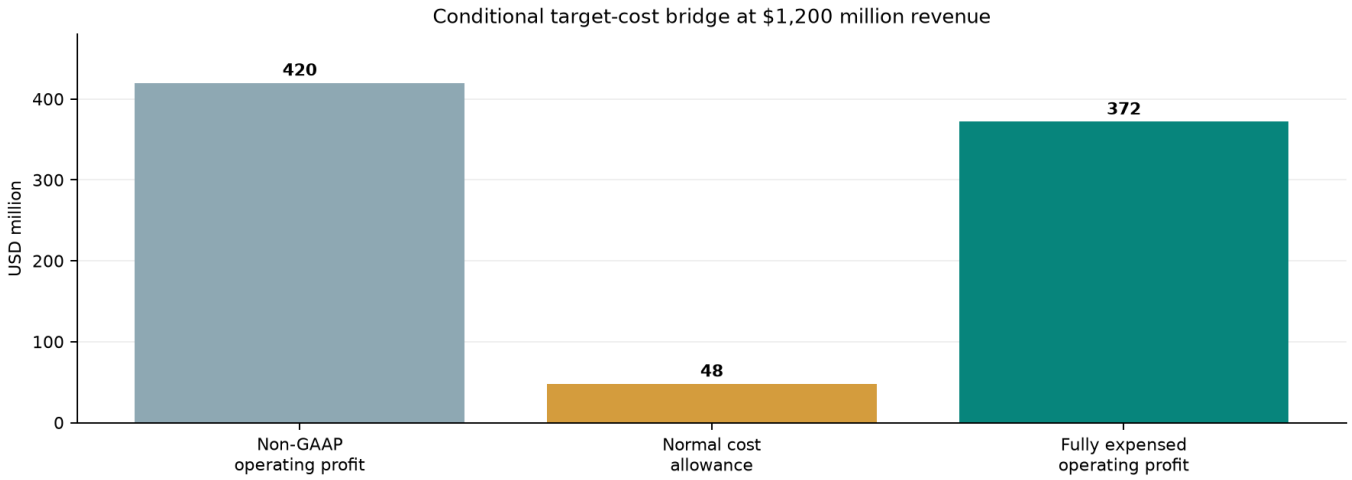


Original October issuer slide 38. Both 55-56% gross margin and 34-36% operating margin are explicitly non-GAAP. The current comparison uses Q2 results.

At the midpoint, the target implies USD 666 million gross profit and USD 420 million operating profit. It does not imply those amounts of fully expensed profit. The company supplied historical reconciliations, but no forward GAAP reconciliation of the target.

The adopted conditional cost case uses a four-percentage-point normal-cost difference from the non-GAAP operating margin, with a three-to-five-point bound. At USD 1,200 million sales, USD 12 million enters cost of sales and USD 36 million operating expenses. Fully expensed gross profit becomes USD 654 million and operating profit USD 372 million. This is an explicitly analytical cost allowance, not an issuer reconciliation.

The target cost bridge



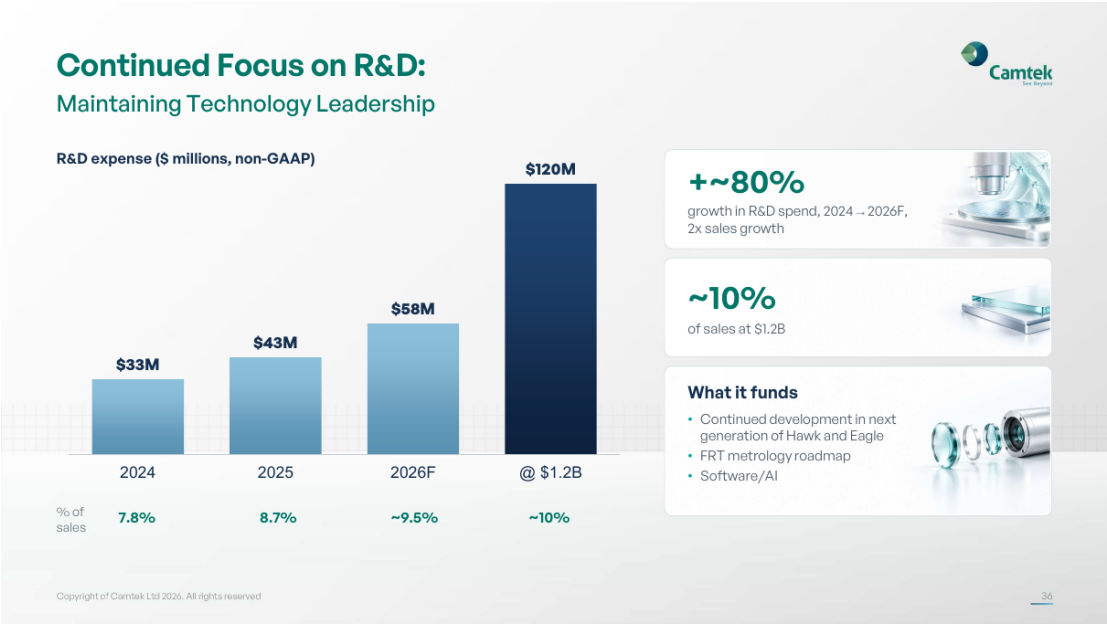
Conditional illustration, USD million. The normal-cost allowance is assumed and is applied once; it does not change the locked 20x valuation method.

At conditional target, USD million	Amount	Basis
Revenue	1,200	Model timing interpretation of issuer goal
Non-GAAP gross profit	666	Midpoint of issuer 55-56% goal
Non-GAAP operating profit	420	Midpoint of issuer 34-36% goal
Additional normal cost in COGS	12	Analytical recurring-cost allowance
Additional normal cost in opex	36	Analytical recurring-cost allowance
Fully expensed gross profit	654	Conditional arithmetic
Fully expensed operating profit	372	Conditional arithmetic
Fully expensed operating margin	31%	Conditional arithmetic

The joint path assumes USD 1,000 million revenue in 2028, USD 540 million gross profit and USD 230 million operating expenses. That intermediate year is an interpolation, not company guidance. In 2030 the conditional path keeps the prior active revenue amount while retaining a 31% fully expensed operating margin. Higher revenue therefore need not create higher profit than a more optimistic old margin path.

The target already encompasses next-generation inspection, metrology, service and software. It is not combined with separate additions for every growth engine. The branch replaces only the difference from the whole previously active outcome.

Research spending at the target



Original October issuer slide 36: R&D is non-GAAP. The 2026 chart shows USD 58 million; the target shows USD 120 million, about 10% of sales.

R&D spending supports Hawk and Eagle, the FRT metrology roadmap and software/AI. The target requires spending to roughly double from 2026, rather than treating a new software category as costless revenue. The plan to sell software from 2027 also needs product development, integration, application support and customer adoption.

The issuer margin bridge starts near 30% non-GAAP operating margin in 2025, adds about three percentage points from gross margin and richer mix, adds about two points of SG&A leverage, and gives back about one point for R&D. The original slide retains the precise source values. That produces the stated 34-36% non-GAAP target range; it is not 2027 margin guidance.

Service and software are targeted at about USD 140 million, or 12% of sales, against USD 20 million in 2024 and USD 28 million in 2025. Those are combined revenues, not a disclosed pure-software annual recurring revenue metric. The current installed base of about 4,000 tools does not establish a guaranteed subscription per tool.

Additional qualified process steps

Probability: 45%, with a 25-65% sensitivity range. The gross application opportunity is bounded at USD 120 million, USD 200 million, USD 240 million and USD 280 million in 2027-2030. Half is removed for overlap with the growing reference, leaving conditional receipts of USD 60 million, USD 100 million, USD 120 million and USD 140 million.

Each surviving dollar contributes 55% gross profit and requires 14% additional research, application engineering, support and selling expense. The conditional operating contribution is 41%. These are model assumptions for accepted applications, not separately booked awards.

Known HBM orders, baseline capacity expansion and the reference product mix are already included. A new invoice must represent an additional qualified step or configuration to count here. No incremental contribution is assigned to 2026 because those near-term receipts are already anchored in the revenue baseline.

Quarter	p	Conditional receipts	Conditional GP	Conditional opex	Weighted OP
Q3 2026	45%	0	0	0	0
Q4 2026	45%	0	0	0	0
Q1 2027	45%	14	8	2	3
Q2 2027	45%	14	8	2	3
Q3 2027	45%	16	9	2	3
Q4 2027	45%	16	9	2	3
Q1 2028	45%	23	13	3	4
Q2 2028	45%	24	13	3	4
Q3 2028	45%	26	14	4	5
Q4 2028	45%	27	15	4	5
Q1 2029	45%	28	15	4	5
Q2 2029	45%	29	16	4	5
Q3 2029	45%	31	17	4	6
Q4 2029	45%	32	18	5	6
Q1 2030	45%	32	18	5	6
Q2 2030	45%	34	18	5	6
Q3 2030	45%	36	20	5	7
Q4 2030	45%	38	21	5	7

USD million, rounded. Conditional columns are the residual after the stated overlap treatment, before probability. Weighted OP = probability x (conditional gross profit - conditional operating expenses). Negative opex is expense relief.

Pricing on eligible new terms

Probability: 35%, with a 20-50% sensitivity range. A 5% premium applies to 20% of advanced-packaging receipts eligible for new or revised terms. Half is removed for overlap with the reference mix improvement. This is a small invoice-level increment, not a company-wide price rise.

The price-only revenue increment earns 90% gross contribution and requires 10% selling and support costs, leaving 80% incremental operating contribution. The premium sensitivity is 0-8%, and the eligible revenue share is 10-30%.

Fixed-price backlog is excluded. Customer scrap costs and qualified recipes support willingness to pay, but management evidence of adequate internal capacity restrains a shortage claim. The 2026 increment is zero because current receipts are already calibrated; the modeled premium applies from 2027 to eligible terms only.

Quarter	p	Conditional receipts	Conditional GP	Conditional opex	Weighted OP
Q3 2026	35%	0	0	0	0
Q4 2026	35%	0	0	0	0
Q1 2027	35%	1	1	0	0
Q2 2027	35%	1	1	0	0
Q3 2027	35%	1	1	0	0
Q4 2027	35%	1	1	0	0
Q1 2028	35%	1	1	0	0
Q2 2028	35%	1	1	0	0
Q3 2028	35%	1	1	0	0
Q4 2028	35%	1	1	0	0
Q1 2029	35%	1	1	0	0
Q2 2029	35%	1	1	0	0
Q3 2029	35%	1	1	0	0
Q4 2029	35%	1	1	0	0
Q1 2030	35%	1	1	0	0
Q2 2030	35%	1	1	0	0
Q3 2030	35%	1	1	0	0
Q4 2030	35%	1	1	0	0

USD million, rounded. Conditional columns are the residual after the stated overlap treatment, before probability. Weighted OP = probability x (conditional gross profit - conditional operating expenses). Negative opex is expense relief.

One combined recognition and substitution risk

Probability: 25%, with a 15-40% sensitivity range. Ten percent of AI/AP reference receipts fail to be recognized in the modeled period. The affected-invoice range is 5-15%. This combines customer acceptance delays, competing tools and throughput substitution in one adverse branch.

Lost receipts carry a 54% gross-profit contribution, while 10% expense relief offsets part of the loss. The resulting operating-profit contribution is negative 44% of the missing receipts. No automatic later-quarter recovery is credited.

The reference already captures normal costs and known deliveries. Adding separate generic capex-delay or faster-tool shocks on top of this branch would count the same risk twice. Zero incremental 2026 risk reflects the near-term revenue anchor, not a claim that execution is risk-free.

Quarter	p	Conditional receipts	Conditional GP	Conditional opex	Weighted OP
Q3 2026	25%	0	0	0	0
Q4 2026	25%	0	0	0	0
Q1 2027	25%	-10	-6	-1	-1
Q2 2027	25%	-11	-6	-1	-1
Q3 2027	25%	-12	-6	-1	-1
Q4 2027	25%	-12	-7	-1	-1
Q1 2028	25%	-14	-7	-1	-2
Q2 2028	25%	-14	-8	-1	-2
Q3 2028	25%	-16	-8	-2	-2
Q4 2028	25%	-16	-9	-2	-2
Q1 2029	25%	-17	-9	-2	-2
Q2 2029	25%	-18	-10	-2	-2
Q3 2029	25%	-19	-10	-2	-2
Q4 2029	25%	-20	-11	-2	-2
Q1 2030	25%	-20	-11	-2	-2
Q2 2030	25%	-21	-11	-2	-2
Q3 2030	25%	-23	-12	-2	-3
Q4 2030	25%	-24	-13	-2	-3

USD million, rounded. Conditional columns are the residual after the stated overlap treatment, before probability. Weighted OP = probability x (conditional gross profit - conditional operating expenses). Negative opex is expense relief.

Initial 2027 outlook after all existing economics

Probability: 80%, with a 65-90% sensitivity range. The conditional aggregate revenue is USD 800 million, using the rounded lower end of the issuer outlook above that amount. A USD 780-850 million total-outcome range tests a miss or stronger conversion.

The whole prior active forecast, including qualified steps, pricing and risk, is subtracted first. Only about USD 48 million of residual conditional receipts is eligible. The residual earns 52% gross contribution and requires 18% incremental fully expensed costs, leaving 34% operating contribution.

At the adopted probability, 2027 revenue increases by about USD 39 million, gross profit by USD 20 million, operating expenses by USD 7 million and operating profit by USD 13 million. These conditional totals average inherited branch outcomes; they are not identical totals in every binary funding stress state. There is no separate increment for the cumulative order total, OSAT mix or photonics mentions.

Quarter	p	Conditional receipts	Conditional GP	Conditional opex	Weighted OP
Q3 2026	80%	0	0	0	0
Q4 2026	80%	0	0	0	0
Q1 2027	80%	11	6	2	3
Q2 2027	80%	12	6	2	3
Q3 2027	80%	13	7	2	3
Q4 2027	80%	13	7	2	4
Q1 2028	80%	0	0	0	0
Q2 2028	80%	0	0	0	0
Q3 2028	80%	0	0	0	0
Q4 2028	80%	0	0	0	0
Q1 2029	80%	0	0	0	0
Q2 2029	80%	0	0	0	0
Q3 2029	80%	0	0	0	0
Q4 2029	80%	0	0	0	0
Q1 2030	80%	0	0	0	0
Q2 2030	80%	0	0	0	0
Q3 2030	80%	0	0	0	0
Q4 2030	80%	0	0	0	0

USD million, rounded. Conditional columns are the residual after the stated overlap treatment, before probability. Weighted OP = probability x (conditional gross profit - conditional operating expenses). Negative opex is expense relief.

Joint later target, investment and timing case

Probability: 60%, with a 40-75% sensitivity range. The model interpolates USD 1,000 million of 2028 revenue, then interprets the approximately three-year issuer goal as USD 1,200 million around 2029. Arrival in 2030 or failure remains possible. These annual allocations are assumptions, not guidance.

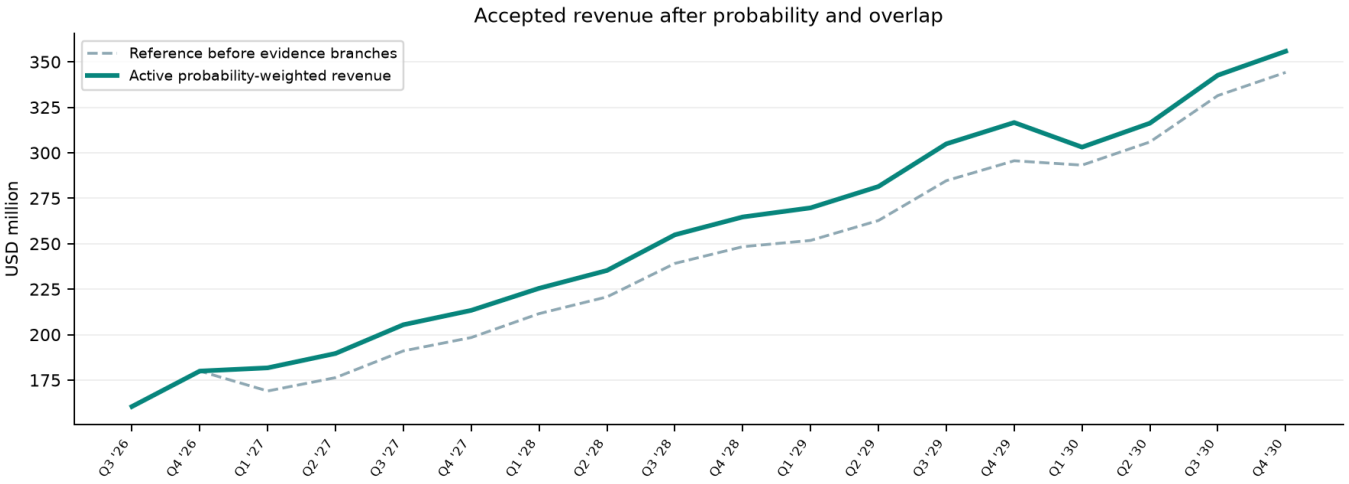
The conditional 2028 path has USD 540 million gross profit, USD 230 million operating expenses and USD 310 million operating profit. The conditional 2029 path has USD 654 million gross profit, USD 282 million operating expenses and USD 372 million operating profit. The four-point normal-cost allowance has a three-to-five-point sensitivity bound.

The entire previously active revenue, gross profit and operating expenses are subtracted before applying 60%. The path already includes the inspection, metrology, service and software plan. It contributes zero separately in 2027, where the initial-outlook residual already applies. In 2030, revenue is held at the prior active amount but the conditional margin is 31%. These are expectation-level residual outcomes over the inherited branches, not identical totals in every stress state.

Quarter	p	Conditional receipts	Conditional GP	Conditional opex	Weighted OP
Q3 2026	60%	0	0	0	0
Q4 2026	60%	0	0	0	0
Q1 2027	60%	0	0	0	0
Q2 2027	60%	0	0	0	0
Q3 2027	60%	0	0	0	0
Q4 2027	60%	0	0	0	0
Q1 2028	60%	11	6	8	-1
Q2 2028	60%	12	6	8	-1
Q3 2028	60%	13	7	9	-1
Q4 2028	60%	13	7	9	-1
Q1 2029	60%	16	8	13	-3
Q2 2029	60%	16	9	13	-3
Q3 2029	60%	18	9	15	-3
Q4 2029	60%	18	10	15	-3
Q1 2030	60%	0	-2	12	-8
Q2 2030	60%	0	-2	13	-9
Q3 2030	60%	0	-2	14	-9
Q4 2030	60%	0	-2	14	-10

USD million, rounded. Conditional columns are the residual after the stated overlap treatment, before probability. Weighted OP = probability x (conditional gross profit - conditional operating expenses). Negative opex is expense relief.

Revenue after probability and overlap

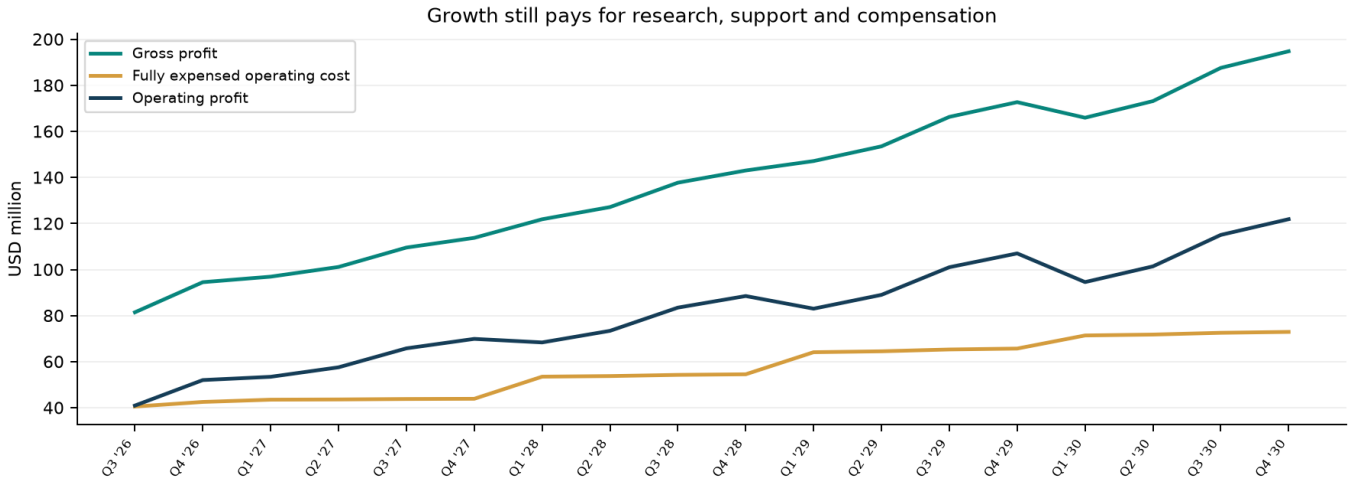


All 18 operating quarters. Reference receipts and the active total share the same three mutually exclusive application pools.

Quarter	Reference revenue	Weighted net receipts	Active revenue
Q3 2026	161	0	161
Q4 2026	180	0	180
Q1 2027	169	13	182
Q2 2027	176	13	190
Q3 2027	191	14	205
Q4 2027	198	15	213
Q1 2028	212	14	226
Q2 2028	221	15	235
Q3 2028	239	16	255
Q4 2028	248	16	265
Q1 2029	252	18	270
Q2 2029	263	19	281
Q3 2029	285	20	305
Q4 2029	296	21	317
Q1 2030	293	10	303
Q2 2030	306	10	316
Q3 2030	332	11	343
Q4 2030	344	12	356

All operating rows are forecasts or preliminary/guidance-anchored estimates. More distant quarters carry lower source visibility. Negative residual receipts can reflect the cost/timing outcome relative to a more optimistic prior path, rather than an additional broad demand shock.

Complete quarterly operating model



Operating profit equals gross profit less fully expensed operating expenses. Depreciation, compensation and ordinary amortization are not valuation addbacks.

Quarter	Revenue	Gross profit	Opex	Operating profit	OP margin
Q3 2026	161	81	41	41	26%
Q4 2026	180	95	43	52	29%
Q1 2027	182	97	43	53	29%
Q2 2027	190	101	44	58	30%
Q3 2027	205	110	44	66	32%
Q4 2027	213	114	44	70	33%
Q1 2028	226	122	53	68	30%
Q2 2028	235	127	54	73	31%
Q3 2028	255	138	54	83	33%
Q4 2028	265	143	55	88	33%
Q1 2029	270	147	64	83	31%
Q2 2029	281	153	64	89	32%
Q3 2029	305	166	65	101	33%
Q4 2029	317	173	66	107	34%
Q1 2030	303	166	71	95	31%
Q2 2030	316	173	72	101	32%
Q3 2030	343	188	73	115	34%
Q4 2030	356	195	73	122	34%

Q3 2026 revenue uses the preliminary midpoint; Q4 2026 revenue uses issuer guidance. Their costs and profits remain analytical. Every later operating row is a forecast, not a reported result. Rounded displays can differ by one from the sum of rounded components.

Annual reconciliation

Year	Reference receipts	Active receipts	Gross profit	Opex	Operating profit
2027	735	790	421	175	247
2028	920	981	530	216	314
2029	1,095	1,173	640	260	380
2030	1,275	1,318	721	289	433

The 2027 active revenue is below USD 800 million because the new outlook residual is weighted at 80%, with inherited risks retained. It is not a rewritten claim that management guided to a lower number. The 2029 active result is also an average of the saved path and a later target-cost outcome, not a guarantee of the full target.

Why this full review is warranted

New preliminary earnings and formal revenue guidance require a review. The adopted 2027 operating profit rises about 6%, while 2030 operating profit falls about 8% as the cost envelope is made explicit. Nearer gains and later costs offset across the active earnings window, leaving its ceiling down by less than 1%. This is not a routine rebuild for an isolated tiny target revision.

What would change the model next

The next full quarterly release can confirm revenue recognition, the gross-margin mix, R&D and support spending, receivables, cash conversion and diluted shares. New awarded applications matter only after their overlap with the current forecast is removed. Software commercialization needs paid customers and support economics, not just a product announcement.

A shift in customer budgets, acceptance timing, trade rules or competitive capability can require a thesis/risk correction even if an initial target estimate is small. Otherwise, incremental evidence is accumulated and screened against the owner-approved materiality thresholds before another full publication.

Reference revenue-vector derivation

These are reference application allocations before the five probability branches. Camtek does not report gross margins for these pools. Gross profit = revenue x the modeled vector margin. Photonics and related software/service are inside the listed pools, not an extra fourth source of consolidated receipts.

Quarter	Reference application pool	Revenue	Gross margin	Gross profit
Q3 2026	Advanced-packaging inspection and metrology	127	52%	66
Q3 2026	Other applications, including 2D and photonics	34	46%	16
Q4 2026	Advanced-packaging inspection and metrology	144	54%	78
Q4 2026	Other applications, including 2D and photonics	36	47%	17
Q1 2027	AI/HPC advanced packaging	104	56%	58
Q1 2027	Other advanced packaging	32	51%	16
Q1 2027	Other applications, including 2D and photonics	33	47%	16
Q2 2027	AI/HPC advanced packaging	108	56%	60
Q2 2027	Other advanced packaging	34	51%	17
Q2 2027	Other applications, including 2D and photonics	35	47%	16
Q3 2027	AI/HPC advanced packaging	117	56%	66
Q3 2027	Other advanced packaging	36	51%	19
Q3 2027	Other applications, including 2D and photonics	38	47%	18
Q4 2027	AI/HPC advanced packaging	122	56%	68
Q4 2027	Other advanced packaging	38	51%	19
Q4 2027	Other applications, including 2D and photonics	39	47%	18
Q1 2028	AI/HPC advanced packaging	138	57%	78
Q1 2028	Other advanced packaging	37	51%	19
Q1 2028	Other applications, including 2D and photonics	37	47%	17
Q2 2028	AI/HPC advanced packaging	144	57%	81
Q2 2028	Other advanced packaging	38	51%	20
Q2 2028	Other applications, including 2D and photonics	38	47%	18
Q3 2028	AI/HPC advanced packaging	156	57%	88
Q3 2028	Other advanced packaging	42	51%	21
Q3 2028	Other applications, including 2D and photonics	42	47%	20
Q4 2028	AI/HPC advanced packaging	162	57%	92
Q4 2028	Other advanced packaging	43	51%	22
Q4 2028	Other applications, including 2D and photonics	43	47%	20
Q1 2029	AI/HPC advanced packaging	169	57%	96

Quarter	Reference application pool	Revenue	Gross margin	Gross profit
Q1 2029	Other advanced packaging	43	52%	22
Q1 2029	Other applications, including 2D and photonics	40	47%	19
Q2 2029	AI/HPC advanced packaging	176	57%	101
Q2 2029	Other advanced packaging	44	52%	23
Q2 2029	Other applications, including 2D and photonics	42	47%	20
Q3 2029	AI/HPC advanced packaging	191	57%	109
Q3 2029	Other advanced packaging	48	52%	25
Q3 2029	Other applications, including 2D and photonics	46	47%	21
Q4 2029	AI/HPC advanced packaging	198	57%	113
Q4 2029	Other advanced packaging	50	52%	26
Q4 2029	Other applications, including 2D and photonics	47	47%	22
Q1 2030	AI/HPC advanced packaging	201	58%	116
Q1 2030	Other advanced packaging	48	52%	25
Q1 2030	Other applications, including 2D and photonics	44	47%	21
Q2 2030	AI/HPC advanced packaging	210	58%	121
Q2 2030	Other advanced packaging	50	52%	26
Q2 2030	Other applications, including 2D and photonics	46	47%	21
Q3 2030	AI/HPC advanced packaging	228	58%	131
Q3 2030	Other advanced packaging	55	52%	28
Q3 2030	Other applications, including 2D and photonics	49	47%	23
Q4 2030	AI/HPC advanced packaging	236	58%	136
Q4 2030	Other advanced packaging	57	52%	29
Q4 2030	Other applications, including 2D and photonics	51	47%	24

Research and operating-cost derivation

The reference cost pool is USD 165 million in 2027, USD 190 million in 2028, USD 220 million in 2029 and USD 250 million in 2030. Its R&D and administration split is an analytical allocation, not a company forward expense budget. The branch column then adds or removes only the incremental cost described in each evidence bridge.

Quarter	Reference R&D	Reference other opex	Weighted branch costs	Total active opex	D&A memo	SBC memo
Q3 2026	18	23	0	41	3	5
Q4 2026	19	24	0	43	3	5
Q1 2027	19	22	2	43	3	5
Q2 2027	19	22	2	44	3	5
Q3 2027	19	22	3	44	3	5
Q4 2027	19	22	3	44	3	6
Q1 2028	22	26	6	53	3	6
Q2 2028	22	26	6	54	3	6
Q3 2028	22	26	7	54	3	6
Q4 2028	22	26	7	55	3	6
Q1 2029	25	30	9	64	4	6
Q2 2029	25	30	9	64	4	6
Q3 2029	25	30	10	65	4	6
Q4 2029	25	30	11	66	4	7
Q1 2030	29	34	9	71	4	7
Q2 2030	29	34	9	72	4	7
Q3 2030	29	34	10	73	4	7
Q4 2030	29	34	10	73	4	7

D&A and SBC are memo amounts already included in fully expensed operating profit. They are not added back in valuation. The separate cash-funding check adds D&A as a noncash adjustment; it does not reclassify that cost as free earnings.

Convertible notes: keep each financing case matched

June liquidity was about USD 816 million, including deposits and marketable securities. The convertible accounting balance was about USD 488 million, while the remaining 2030 note face value is USD 500 million. Issuance costs explain why carrying value and repayment principal differ. The old 2026 notes are not added back into the current claim.

The 2030 note can be settled in cash, shares or a combination. Full conversion represents 4,572,750 shares, at a conversion price around USD 109. A valid full-conversion case removes the USD 500 million principal claim and includes those shares. A valid cash-redemption case keeps the principal claim and excludes those shares. The model never deducts the whole principal and adds all conversion shares together.

A USD 200 million operating-cash reserve leaves about USD 616 million excess liquidity. A separate finance-lease claim of about USD 5 million is retained, with a USD 4-7 million bound because the interim balance sheet does not separately identify it. Ordinary operating-lease occupancy remains an expense. No future cash generation is separately capitalized into the ceiling.

Matched valuation case	Cash redemption	Full conversion
Starting liquidity	816	816
Operating reserve	(200)	(200)
Excess liquidity	616	616
Principal claim	(500)	0
Separate finance lease	(5)	(5)
Net valuation credit	111	611
Conversion shares included	No	Yes

The active valuation uses the end of its earnings window, Q3 2028, for shares and claims. The full-conversion share path starts at 51,550,000 shares and adds 60,000 each quarter. Conversion shares are embedded in that path. The June common-share count of 46,668,177 is a dated market snapshot, not the forecast diluted denominator.

Each valuation window chooses the lower internally matched result using its probability-weighted operating profit. A result near the conversion price is not a prediction of the actual settlement election. Crossing that boundary requires recomputing both bounds, not holding a preferred financing choice fixed.

All 15 matched financing windows

Cash and conversion bounds are USD per diluted share; the net credit is USD millions and shares are whole shares. Both bounds use the same operating-profit forecast and window-end date. The lower amount is adopted. Whole-dollar display can hide a small difference between bounds; selection uses exact values.

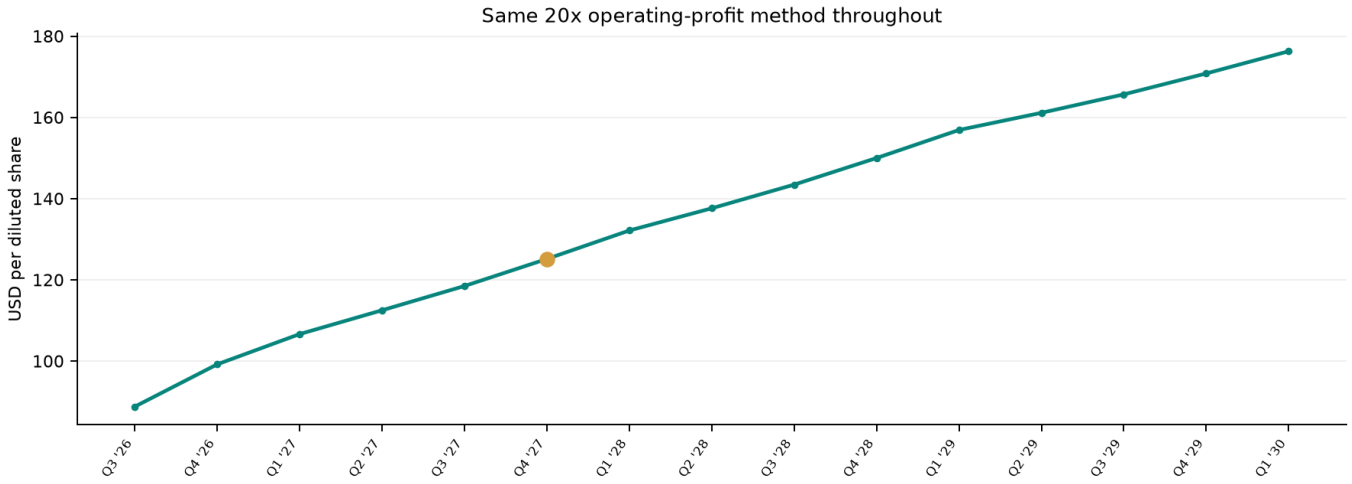
Valuation quarter	End of earnings window	Cash bound	Conversion bound	Selected case	Matched shares	Net credit, USD million
Q3 2026	Q2 2027	89	91	Cash	47,157,250	111
Q4 2026	Q3 2027	99	100	Cash	47,217,250	111
Q1 2027	Q4 2027	107	107	Cash	47,277,250	111
Q2 2027	Q1 2028	113	113	Conversion	51,910,000	611
Q3 2027	Q2 2028	119	118	Conversion	51,970,000	611
Q4 2027	Q3 2028	127	125	Conversion	52,030,000	611
Q1 2028	Q4 2028	134	132	Conversion	52,090,000	611
Q2 2028	Q1 2029	140	138	Conversion	52,150,000	611
Q3 2028	Q2 2029	147	143	Conversion	52,210,000	611
Q4 2028	Q3 2029	154	150	Conversion	52,270,000	611
Q1 2029	Q4 2029	161	157	Conversion	52,330,000	611
Q2 2029	Q1 2030	166	161	Conversion	52,390,000	611
Q3 2029	Q2 2030	171	166	Conversion	52,450,000	611
Q4 2029	Q3 2030	177	171	Conversion	52,510,000	611
Q1 2030	Q4 2030	183	176	Conversion	52,570,000	611

Ceiling = (20 x fully expensed four-quarter operating profit + the matched net valuation credit) / matched diluted shares. The active window therefore uses about USD 295 million profit, USD 611 million net credit and 52,030,000 shares, giving about USD 125 per share. Exact calculations remain in Excel.

Inherited financing convention

This report preserves the existing convention of selecting the lower settlement bound after averaging operating profit. Averaging a lower settlement bound separately inside every operating state is a different method. A diagnostic found the active-window difference far below USD 1 per share and the largest window difference below USD 1; it does not authorize a method change.

The complete ceiling path



Every point prices its own quarter plus the next three quarters. The highlighted point is the active Q4 2027 horizon. No market-price line or new multiple is inserted.

Valuation quarter	Four-quarter earnings window	F4Q profit	Multiple	Ceiling
Q3 2026	Q3 2026 through Q2 2027	204	20x	89
Q4 2026	Q4 2026 through Q3 2027	229	20x	99
Q1 2027	Q1 2027 through Q4 2027	247	20x	107
Q2 2027	Q2 2027 through Q1 2028	262	20x	113
Q3 2027	Q3 2027 through Q2 2028	277	20x	118
Q4 2027	Q4 2027 through Q3 2028	295	20x	125
Q1 2028	Q1 2028 through Q4 2028	314	20x	132
Q2 2028	Q2 2028 through Q1 2029	328	20x	138
Q3 2028	Q3 2028 through Q2 2029	344	20x	143
Q4 2028	Q4 2028 through Q3 2029	361	20x	150
Q1 2029	Q1 2029 through Q4 2029	380	20x	157
Q2 2029	Q2 2029 through Q1 2030	392	20x	161
Q3 2029	Q3 2029 through Q2 2030	404	20x	166
Q4 2029	Q4 2029 through Q3 2030	418	20x	171
Q1 2030	Q1 2030 through Q4 2030	433	20x	176

These are modeled equity ceilings, not guaranteed trading prices or literal net-income P/E targets. More distant quarters rely on increasingly uncertain sales, cost, timing and capital assumptions.

Funding, working capital and investment

Cash conversion deserves attention. Receivables rose from about USD 91 million at year-end to USD 154 million in June, while Q2 operating cash flow was only about USD 12 million. Revenue acceptance can precede collection, and investment must be funded before hoped-for margins are realized.

The funding check starts with USD 816 million liquidity. It charges a 20% cash-tax proxy on operating profit, adds D&A as a noncash adjustment, reserves 30% of positive sequential revenue growth for working capital, pays modeled finance leases and deducts capex. SBC stays in economic profit; no separate SBC cash addback is used in this conservative funding proxy.

Annual capex rises from USD 30 million in 2027 to USD 36 million in 2028, USD 40 million in 2029 and USD 44 million in 2030. The redemption stress pays USD 500 million principal in Q3 2030. Conversion and cash payment are alternatives, not simultaneous uses.

Year	Annual capex	Lowest modeled quarter-end cash	Operating reserve
2026 H2 only	12	837	200
2027	30	900	200
2028	36	1,041	200
2029	40	1,229	200
2030	44	1,067	200

Across 64 mechanical combinations of five operating branch switches and two settlement assumptions, the lowest quarter-end cash is about USD 837 million. Including the opening balance, the minimum is USD 816 million. Both exceed the original USD 200 million reserve. This is a stress check of stated assumptions, not proof against every possible shock.

The new conditional revenue and profit totals are expectation-level residual outcomes averaged over inherited branches. They are not identical totals in every binary funding state. No unmodeled acquisition, dividend, extra operating leverage or financing proceeds is authorized by this funding result.

Sensitivity: probability, normal cost and timing

The independent stress varies the 2027 outlook probability from 65% to 90%, the later target-cost probability from 40% to 75%, the ordinary-cost difference from three to five percentage points, and arrival of the approximately USD 1,200 million goal from 2029 to 2030. The delayed path interpolates between the 2027 revenue outcome and 2030. These are assumptions, not new company guidance.

Across those requested stresses, the active ceiling is about USD 118-127. The adopted ceiling is about USD 125. Later-window uncertainty is wider. A higher probability of the later case can lower profit if that case requires more normal cost than the older path assumed.

Valuation quarter	Adopted ceiling	Stress low	Stress high
Q3 2026	89	88	89
Q4 2026	99	98	100
Q1 2027	107	106	107
Q2 2027	113	110	114
Q3 2027	118	114	120
Q4 2027	125	118	127
Q1 2028	132	123	135
Q2 2028	138	127	140
Q3 2028	143	131	146
Q4 2028	150	136	153
Q1 2029	157	141	160
Q2 2029	161	145	165
Q3 2029	166	149	171
Q4 2029	171	154	177
Q1 2030	176	159	183

Separate 2027 revenue-outcome tests use USD 780-850 million. The stress calculations recompute both financing alternatives for every window. The endpoints are scenario boundaries, not a statistical confidence interval and not a replacement adopted target.

Score and return classification

Category	Points	Reason
Core	17	Qualified recipes, repeatable optical measurements and customer integration support value; competing platforms remain available.
Cycle	8	Record orders and HBM/OSAT expansion support growth, while acceptance and customer budgets still determine recognition.
TAM	8	More process steps and new metrology applications expand eligible work, offset by faster tools and sampling decisions.
Catalysts	4	Q3 full results, 2027 HBM/Hawk acceptance, NanoProf qualification and paid Visual Layer software adoption.
Macro	7	AI investment supports demand; Israel operations, trade rules, China exposure and customer concentration constrain certainty.
Alpha	3	Counts overlapping orders once, charges R&D and SBC, separates non-GAAP goals and matches convertible claims.
Risk	-5	Acceptance timing, competitive qualification, faster tools, margin assumptions and receivable conversion are distinct risks.
Total	42 / 60	Rounded analytical Base 70; protected Excel Base remains 70.

The current classification is a competitive advanced-packaging inspection and metrology beneficiary. It is not an exclusive bottleneck owner. The unchanged 20x method and dated quote do not show positive active-horizon upside. A growing business can still have insufficient modeled value at a particular stock price.

The score measures the business and evidence under the investing framework; it does not override arithmetic. No Base increase is inferred from the investor-day goals, a bank forecast or a stock-price move.

Risks, falsification and the next tests

Risk	What would weaken the case	Evidence that would resolve it
Recognition and budgets	Orders slip, acceptance slows or customer capital budgets are cut.	Full Q3 tables; subsequent delivery and acceptance evidence; paid receipt conversion.
Competition and productivity	Customers use faster tools, sample less or qualify a competing platform.	Won/lost qualified steps, recipe coverage, throughput and installed-base expansion net of substitution.
Cost and profitability	R&D, software support and compensation grow faster than profitable receipts.	GAAP and non-GAAP reconciliation; engineering headcount; realized mix; recurring-cost bridge.
Customer and geographic exposure	Concentrated AP spending, export limits or regional operating disruption impede delivery.	Customer scope and delivery schedules; applicable trade rules; manufacturing and service continuity.
Cash and financial claims	Receivables expand, working capital absorbs more cash, or settlement assumptions fail.	Collections, liquidity, capex, note election and updated diluted-share count.
Long-range timing	The organic target arrives later or software service capture disappoints.	Paid software launches, attach economics, qualified metrology processes and incremental costs.

A useful change must connect to company-level accepted volume, pricing, mix, cost, timing, dilution or risk. Broad semiconductor market growth, more AI devices, or an unqualified product demonstration alone does not establish additional Camtek profit.

Evidence gaps kept explicit

No full Q3 profit, receivables, cash flow or share table accompanies the preliminary revenue. No 2027 profit guidance or forward reconciliation of target non-GAAP margins is supplied. Actual invoice prices, configuration counts, product gross margins, software attach rates and detailed acceptance calendars remain undisclosed.

Original new issuer documents and relevant images were reviewed. The October investor webcast could not be read through the available web tool. The original Q2 call audio is preserved but was not newly transcribed in this run. Prior published Q1/Q2 management Q&A evidence remains part of the existing thesis; no new claim is taken from inaccessible audio or video.

Source basis and accounting cautions

The current production framework was read before the model review. Submitted research and primary sources are evidence. ASTRA owns probabilities, overlap, costs, financing and valuation. The October 15 bank note supplements the primary issuer record; its targets and analyst forecasts are not imported into the valuation.

Original October release and 47-page deck were downloaded and hashed. Relevant slide images were inspected. Source precision is retained in original exhibits even though authored prose and model tables use whole numbers. The clean-state Markdown embeds the same figures as the PDF; neither depends on remote images.

Source conflicts are not silently averaged: the corrected Q2 wire contains a headline operating-margin typo; exact table arithmetic and the release body establish the non-GAAP operating margin near 27%. Some acquisition-cost footnote subtotals do not match their listed components. Exact reconciliation totals control. The October deck rounds historical figures differently from the earnings statement; those rounded graphics do not overwrite exact historical tables.

The new rounded order and revenue figures also have limits. Cumulative orders are not remaining backlog. The approximately USD 600 million starting point plus the illustrated growth engines sums slightly above USD 1,200 million because all are approximate. The issuer statement above USD 800 million and above 35% growth is preserved as stated rather than manufacturing an exact revenue floor.

[1] Q2 2026 financial results | 2026-08-10 | Read source | SHA-256 95a7cd1235b39d211a488bdc26081b544cd8a6b8ecbc70e7f510d3839d7e2625

[2] Q1 2026 financial results | 2026-05-12 | Read source | SHA-256 d83e40cf129392aa9f6b9e4d994fe44631f4587f2d27bf6a05e7d33fce2f47cd

[3] August2026 issuer presentation | 2026-08 | Read source | SHA-256 2af7f688dce08eecd07422c694e15dd7d3b45238a5c5eccd3442027195cccf75

[4] Q2 2026 management call slides | 2026-08-10 | Read source | SHA-256 f3ea2a3933cf2e48f44ceb0ac285b61efbf317443aaf8fd4e36444c6eb6e7f18

[5] Annual 20-F note12 and conversion terms | 2026-03-19 | Read source

[6] Q2 August 10 management Q&A; reproduced by Quartr | 2026-08-10 | Read source

[7] Q1 May 12 management Q&A; reproduced by ROIC | 2026-05-12 | Read source

[8] Irrevocable physical settlement election for 2026 notes | 2026-01-30 | Read source

[9] Preliminary Q3 revenue, Q4 guidance and initial 2027 outlook | 2026-10-14 | Read source | SHA-256 254948e94f9555189ef9418550039db52e024ceca1f586862ddda0f37c694b5f

[10] Investor presentation, October 14 | 2026-10-14 | Read source | SHA-256 2ca197c6151a7e5c0ebca180f03ae985f980925007910b40747282f06b7d48c6

[11] SEMICON West: Rising tide of complexity and tool demand | 2026-10-15 | SHA-256 da3e1d2d88683d462ca80a27965f0a4c9d6d844b6b14b14da7aae2f994110835 | Relevant pages 9-11

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